

been faced squarely: it can cause some weakness in the U.S. market. If I invest money in Jakarta, I don't invest it in Peoria. When cash flow into the U.S. market is diminished, it hurts stock prices. In addition, when the company in Jakarta uses the new capital to turn itself into an important producer and exporter, U.S. companies will feel the competition. On the other hand, we're also creating new consumer and industrial markets, which should benefit our exporting companies. If that Jakarta firm builds new factories, that ought to be great news for construction equipment makers like Caterpillar.

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World market rules are catching up with the United States—slowly.

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In short, U.S. companies are going to be both helped and hurt by these trends, which only underscores the need for today's investors to think globally. Most European investors have thought globally all along, because the stock buyer in, say, Brussels knows that the Belgian economy alone doesn't offer enough opportunities for his money. The U.S. investor, too, is learning that parochialism is hobbling.

At Acorn, we found a company in Malaysia called Genting. Gambling is a good business, but competition can be a problem, as we have discussed. How much better to have a monopoly! Genting not only serves a population of fervent Southeast Asian gamblers, but it runs the only casino within a thousand miles. Then we thought, if the gambling business is going to do so well worldwide, why not buy the company that makes slot machines? That led us to International Game Technology and some U.S. gaming stocks.

These days the country where a company's headquarters hap-